WHAT DOES IT MEAN FOR ME?

A WEAKENED CURRENCY CAN, AMONG OTHER THINGS, BE INFLATIONARY, MAKE FOREIGN TRAVEL EXPENSIVE AND ADD TO THE COSTS OF OVERSEAS EDUCATION

FOREIGN TRAVEL
Especially to the US, has now become prohibitively expensive

STUDYING ABROAD
Indian students in US universities may now find their tuition and accommodation bills going up, aggravating the financial crunch

INFLATION
Could have a spiralling effect on the prices of FMCG goods, cars, phones, laptops and so on

BUSINESS
Margin pressures on companies may hurt their expansion plans, thereby reducing employment opportunities. Foreign loans will become costlier for companies

NRIs
Remittances from overseas could now become an attractive option

tive side. That would depreciate the rupee further. What level is the RBI defending? It can defend only up to a point."

Experts say the government can work with the RBI to alleviate the pain. "The government has to follow economic policies to address the CAD," says a Mumbai-based economist. "They have taken measures that are widening the trade deficit." These include raising the export duty on steel, petroleum products, banning wheat export, placing sugar in a regulatory regime, regulating rice exports. On the imports side, a few of the recent measures have been counter-intuitive, such as the rush to import coal or raising the import duty on gold, which could encourage its smuggling. India's dependence on petroleum products could have been reduced through consistent focus on renewables, but complicated policy frameworks have stunted growth in the sector. Export of services, too, is running on one engine—the IT sector. India needs to fortify capabilities in other services such as education and health. While the RBI has a big role to play in the capital economy, which tracks capital movement into and out of the country, the government can play a big role in the real economy, which has to do with investments and growth on the ground. "If we don't handle the capital account well, it could aggravate the situation," cautions Garg.

Politically, a falling rupee is bad news for the government. There were apparent differences between Mint Street and FinMin over whether the RBI, through its interventions, ends up creating panic when there wasn't reason to. However, market insiders vouch for the RBI's ability to manage the currency, as long as it sticks to managing volatility and not fix a level for the rupee that market forces can determine. Many believe the rupee should be allowed to depreciate freely to find its right value, while others hold a weak rupee as symptomatic of India's inefficiencies. Many think it's time India began its journey to internationalise the rupee. D.K. Srivastava, policy advisor at EY India, says: "Currency should have asset value rather than merely exchange value."

There is consensus, however, that India needs to prepare to take advantage of the changed power equations in the post-war world. Robin Brooks, chief economist at the IIF (Institute of International Finance), has termed the fall of the euro as 'The End of the Beginning'. In a tweet on July 14, he wrote that Russia's invasion of Ukraine is a seismic shock for the Euro zone because so much of the European growth model has been predicated on cheap Russian energy. The global backlash against China can also be an opportunity for India. We need to follow a multi-pronged approach, from internationalising the rupee to aggressively investing in education and technology. If India has to have a strong currency, lower interest rates and rising prosperity, it must generate employment-intensive growth and pursue a bold economic vision. Do we have it in us? ■

"Ninety per cent of trade is invoiced in dollars, even though the euro and yen have been internationalised. We need real reforms on the government policy side"



– SUBHASH CHANDRA GARG
Former Finance Secretary